NORTH AMERICA FOODS · TRANSFORMATION

NA Bouillon — Current-State Pack

Network & Business Baseline · Week 1

Prepared for: Wez Beauplan · Associate Director, Foods Transformation (NA)
Scope: Current-state network (Scope A) + business baseline (Scope B)
Source: `Copy of RT and UFS Bouillon 4.13.26.xlsx` · 57 SKUs · 5.25M cases · 2025 FY
Date: 2026-04-17

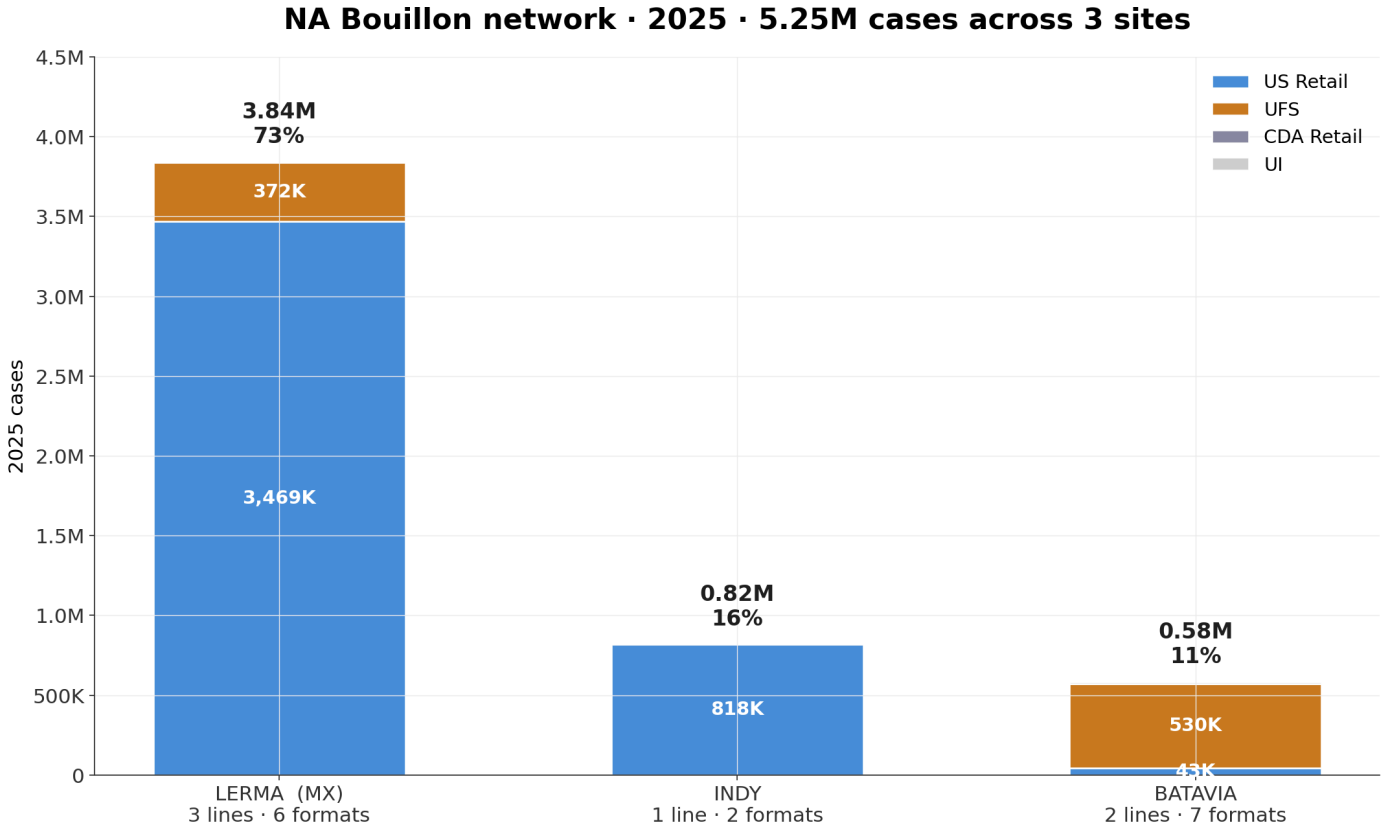
Executive summary

> The real project question is not "**should we consolidate at Indy.**" The Lerma → Indy shift is already in motion for the formats Indy can run today. The question is where the line sits between **formats Indy can absorb with headroom (~1.48M cases)** and **formats Indy would have to build new capability for (~2.94M cases).** Those two scenarios have fundamentally different cost, capex and risk profiles — and framing them that way is how leadership gets a decision it can act on.

The five facts that carry the pack

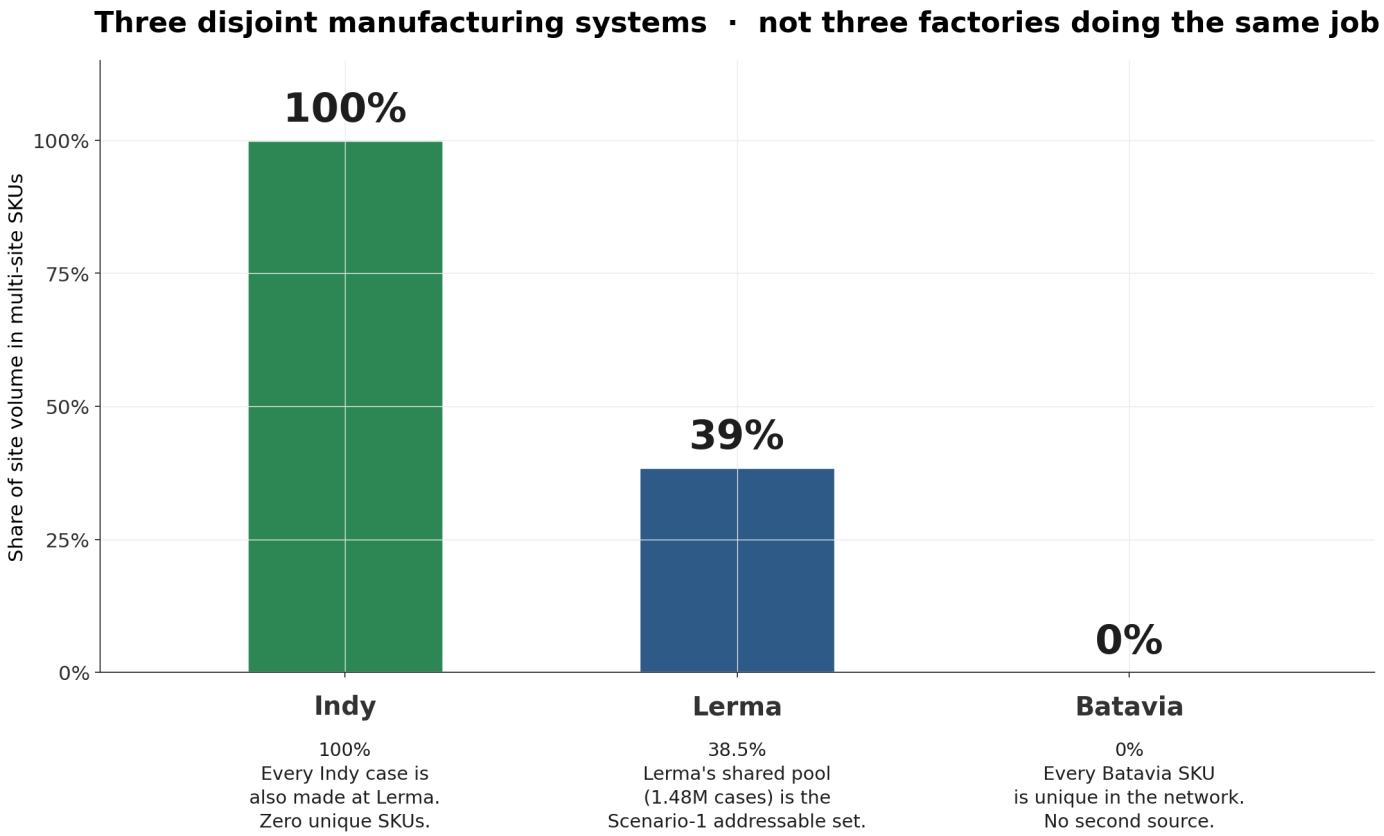
1. **5,246,057 cases across 3 sites.** Lerma 73% · Indy 16% · Batavia 11%. By tonnage the split is 67 / 10 / 23 — Batavia punches 2× its case weight.
2. **44% of network cases are in multi-site SKUs.** 100% of Indy's volume is shared with Lerma. **Batavia has zero overlap with anyone.** Lerma is 38.5% shared / 61.5% unique.
3. **The Lerma → Indy shift is already executing.** 6 SKUs mid-handoff in 2025 — but the flagship (1.18M cases) is **only 15% migrated**.
4. **Indy today is a single-line, two-format, Retail-only factory.** Line 15 · 2 lb + 15.9 oz · 100% Retail · **zero UFS**.
5. **Scenario 2 is a capability build, not a volume transfer.** 2.94M cases sit in formats or technologies Indy has never run.

The one chart



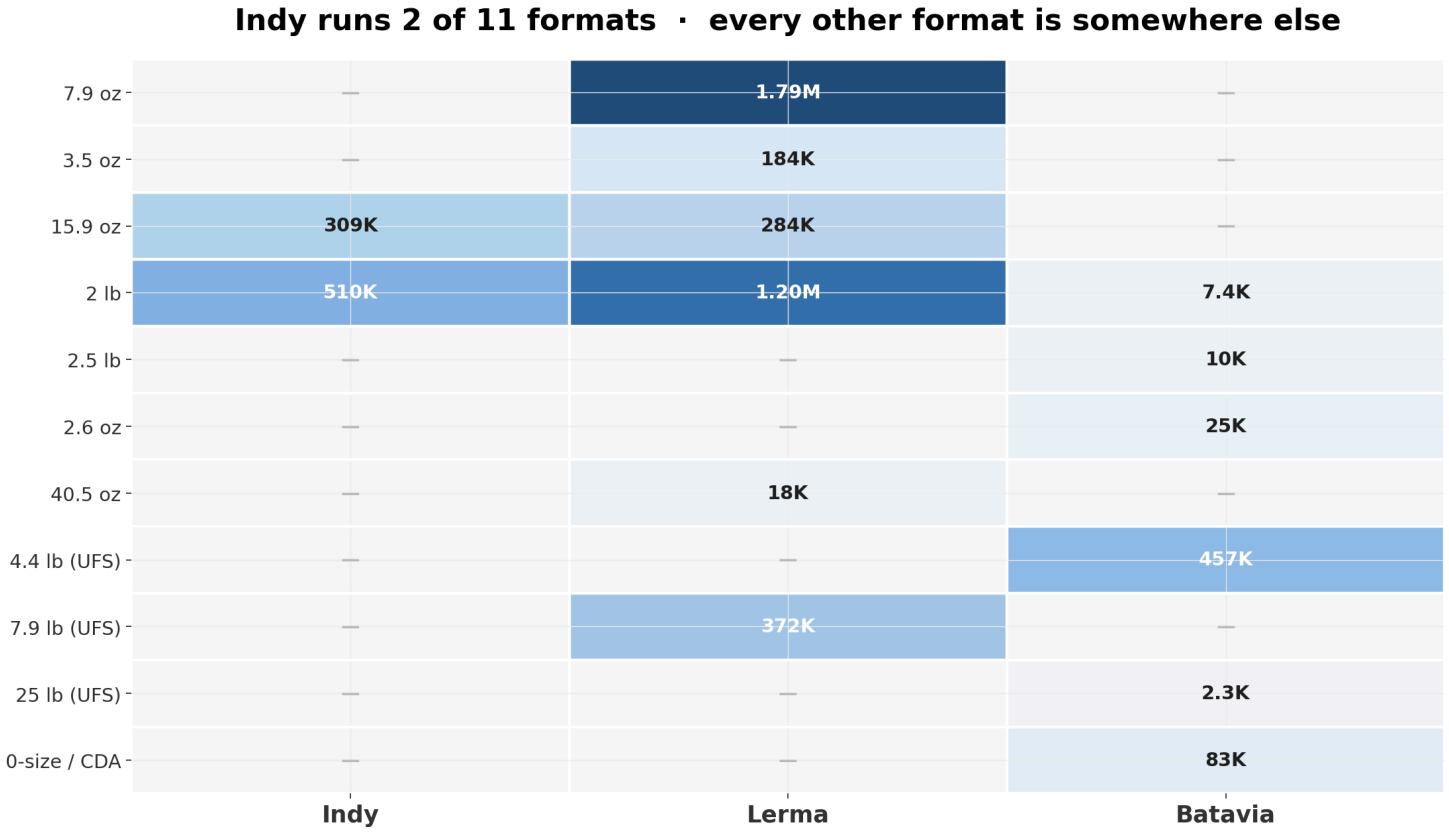
> Three sites, three disjoint production systems stacked on top of each other. Case share (73/16/11) is not tonnage share (67/10/23). Lerma is scale · Indy is a Lerma-mirror in execution · Batavia is a technology monopoly.

Three disjoint manufacturing systems



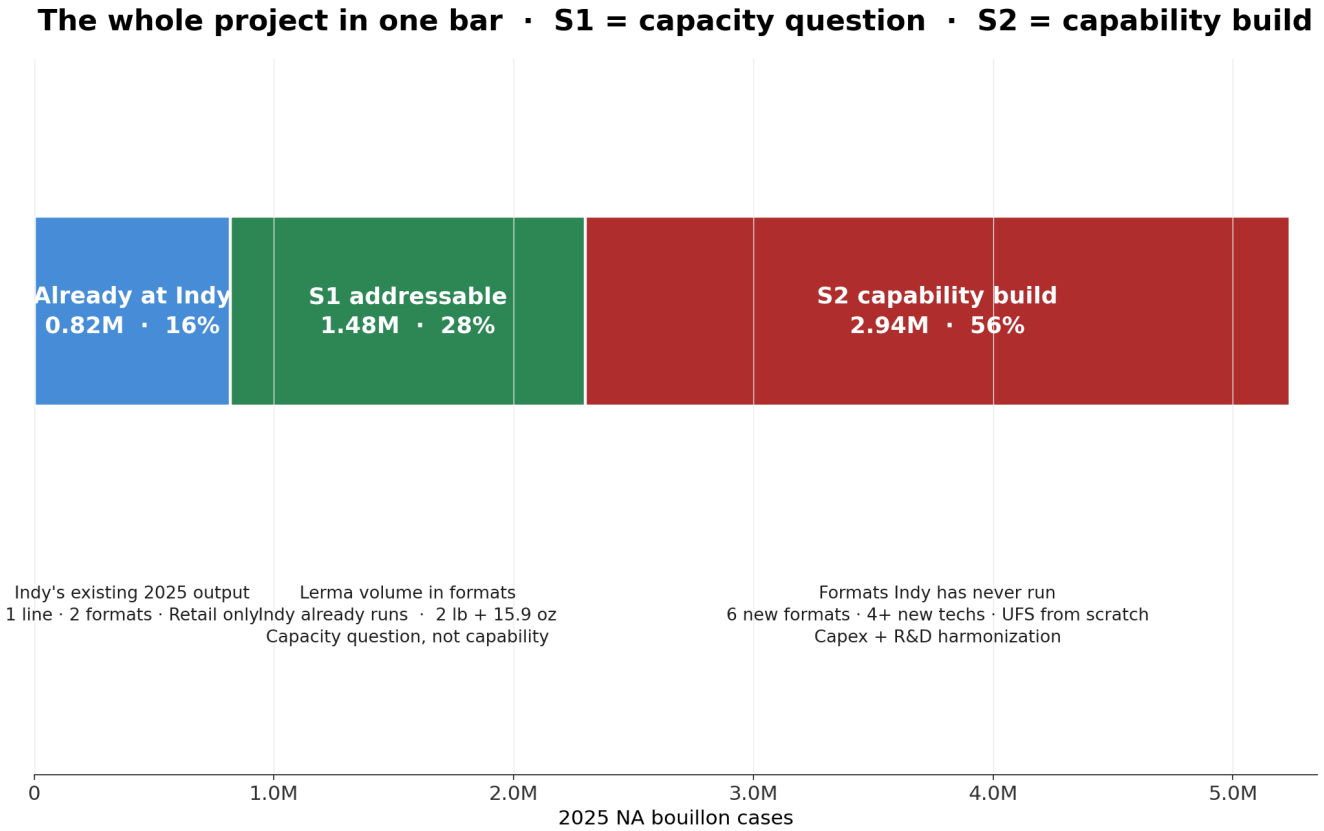
100% of Indy's volume is in Lerma-shared SKUs — Indy has zero unique product footprint. **Batavia has 0% overlap** — every Batavia SKU is unique in the network. The "consolidate at Indy" conversation is really **two conversations**: absorb the overlap (Scenario 1), build everything else from scratch (Scenario 2).

Format × site complexity — the capability gap



Indy runs **2 of 11** formats in the network. Every other format — 7.9 oz (1.79M), 4.4 lb Caldo UFS (457K), 7.9 lb UFS (372K), 3.5 oz, 25 lb Caldo, MixMod, Natural — runs somewhere Indy does not. Scenario 2 is therefore a capability build, not a line transfer.

The whole project in one bar



Scenario 1 — Maximize Indy

1.48M cases · 28%

Capacity / throughput question. Line-15 headroom + second-line decision. Low–medium capex. R&D dependency: low. Near-term.

Scenario 2 — Full Consolidation

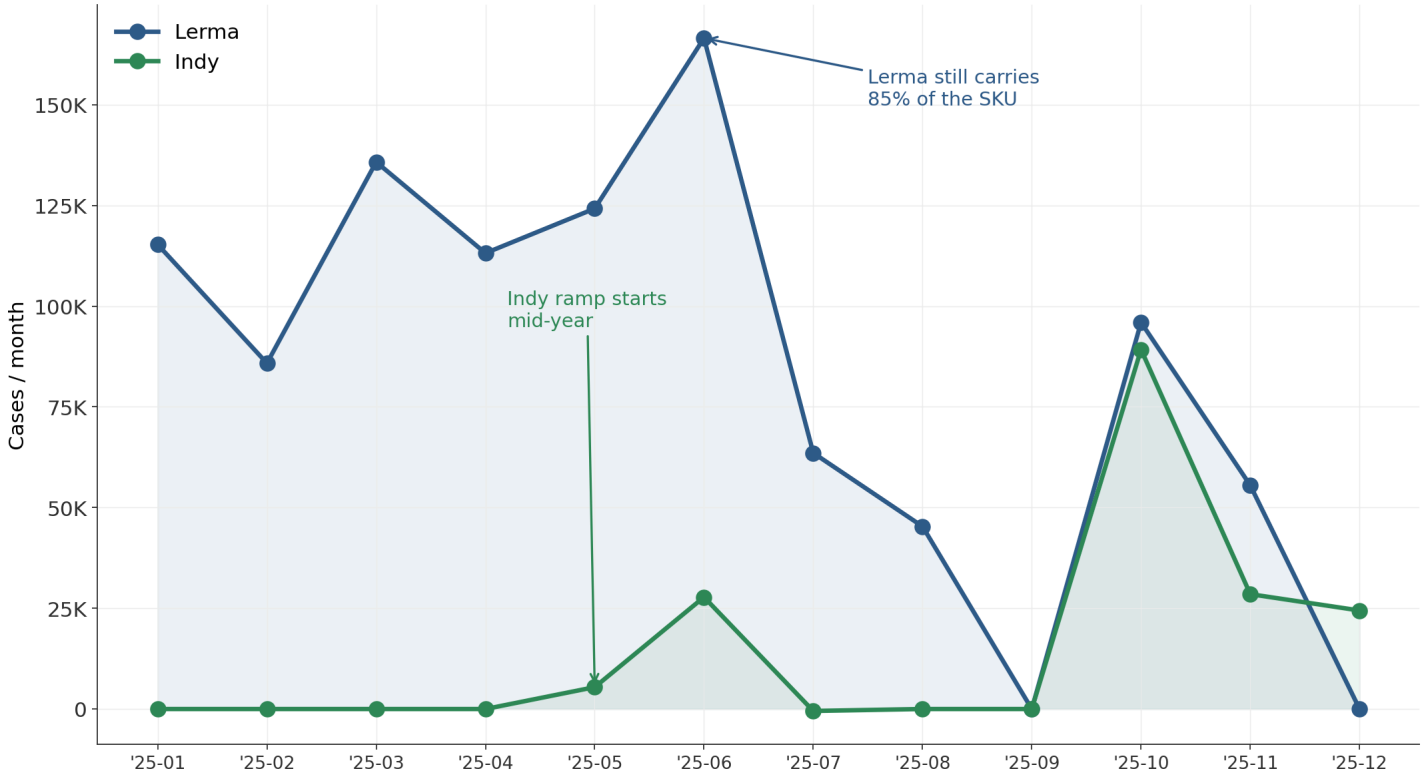
2.94M cases · 56%

Capability-build + harmonization program. 6 new formats · 4+ new technologies · UFS footprint from scratch. High capex. **R&D harmonization is the critical path.** 3-year horizon.

> S1 and S2 are **different kinds of projects,** not "low case / high case" of the same plan. They should not share a single set of assumptions.

The Lerma → Indy shift is already running

Flagship SKU in-flight · KNR MEX BOUIL CHK 6 2 LB · 1.18M cases/yr · 15% moved



The **biggest single SKU in the network** (1.18M cases/yr) is the **least migrated.** Easy wins are nearly done (top SKU 96% moved); the bulk of Scenario 1's upside sits in one barely-started SKU. Week 2 separates "already booked" from "net new."

Indy — advantaged and constrained *(unhedged read)*

Advantaged

- **Domestic US logistics.** 818K cases served without crossing a border vs Lerma's 3.47M cross-border flow.
- **Already running the 2 biggest Retail formats.** 2 lb + 15.9 oz = 44% of network Retail demand.
- **Proven transfer execution.** Six Lerma ↔️ Indy SKUs mid-handoff in 2025; one at 96%.
- **Clean single channel.** 100% US Retail. No split-channel, no UFS overhead, no CDA regulatory scope.

Constrained

- **Single line.** One physical line ("15") carries 100% of Indy's output — no internal redundancy.
- **Two formats only.** 2 lb + 15.9 oz. Everything else = new pack capability.
- **Zero UFS.** Not a ramp issue — **never run UFS**. The 901K-case NA UFS network cannot move here without a build.
- **100% Lerma product dependence.** Zero unique SKUs · zero independent R&D footprint.
- **Scale is small.** 16% of cases · 10% of tonnes.

> Indy is a **strong foundation for Scenario 1** if line-15 headroom exists. It is a **weak foundation for Scenario 2** — not a harder version of S1, a different kind of project.

What Week 2 will answer

Q1. How much of the 1.48M Lerma-addressable pool can Indy absorb without new line investment — and what does the second-line decision look like if the answer is "not much more"?

Q2. For the 2.94M cases Indy cannot run today, which subset is worth building capability for at Indy, on what 3-year glidepath, with what harmonization dependency?

	Scenario 1 — Maximize Indy	Scenario 2 — Full Consolidation
Shape	Capacity / throughput question	Capability-build + harmonization program
Scope	1.48M cases · 2 lb + 15.9 oz	2.94M cases · 6 new formats · 4+ new techs · UFS from scratch
Gate	Line-15 headroom + second-line decision	R&D harmonization roadmap + capex envelope
Capex	Low–medium	High
R&D dependency	Low	**High — critical path**
Horizon	Near-term	3-year glidepath

Week 2 deliverables: 3-year glidepath per scenario · comparative matrix · draft recommendation framing (recommendation itself lands Week 3).

What Week 2 needs from you *(data asks)*

P0 — blocks scenario quantification

- **D1** Site-level conversion cost × sub-category
- **D2** Directional gross margin × site × channel
- **D3** Indy line 15 capacity + 2025 utilization
- **D7** R&D harmonization roadmap status per SKU family
- **D8** Formal status of Lerma → Indy in-flight transfers *(tracked program vs tactical)*

P1 — Week-2 gates

- **D4** Lerma Mateer 1 / 2 / 3 capacity
- **D5** Batavia line 13 + line 0 capacity
- **D6** Named co-manufacturers / overflow / resiliency partners
- **D9** RM sourcing points by site
- **D10** US-MX cross-border logistics benchmark
- **D11** Existing Indy capex / shift-expansion study

> **Single highest-leverage question:** D8 — is the 2025 Lerma → Indy shift a tracked program or tactical? The answer reframes both the Scope B baseline and the Scenario 1 addressable pool.

Appendix — data quality & reconciliation

Source

- `Copy of RT and UFS Bouillon 4.13.26.xlsx` · single sheet · header row 3 · 57 SKU rows · monthly columns decoded from Excel date serials
- Grand total reconciles: **5,246,057 cases** (monthly sum = `Total 25` column)

Site × channel reconciliation *(used throughout)*

Site	US Retail	UFS	CDA Retail	UI	Total
Lerma	3,469,125	371,526	—	2,113	**3,842,764**
Indy	818,078	—	—	459	**818,537**
Batavia	42,899	530,312	11,545	—	**584,756**
Total	**4,330,103**	**901,837**	**11,545**	**2,572**	**5,246,057**

What the workbook does not contain *(named, not hidden)*

Unit conversion cost · gross margin · line capacity / utilization · named co-mans · R&D harmonization status · cross-border logistics cost.
→ Tracked as D1–D12 open data requests. Week 1 ships with the gaps named. Week 2 cannot start scenario quantification without D1 / D2 / D3 / D7 / D8.

Supporting artifacts

`analysis/network_map.md` · `analysis/format_line_complexity.md` · `analysis/baseline_by_site.md` · `analysis/week2_preview.md` · `logs/data_quality_memo.md` · `logs/assumptions.md` · `logs/open_questions.md` · `logs/open_data_requests.md`